ESSENTIAL PROVISIONS

LESSOR: **BAY CITY COMMERCIAL VENTURES CORP.**

LESSEE: **MARY GRACE FOODS INC.**

TERM OF LEASE: from **08 February 2021** to **30 June 2026**

LOCATION/AREA: **Space No. R1-L1-M002, Ayala Malls Vertis North** / approx. **6.00** square meters

USE / SHOP NAME: Food-Coffee/TeaSalon/Juices / CAFE MARY GRACE

LESSEE'S OBLIGATIONS:

Construction Timeline (Annex B):

	DATE
Pre-Construction Meeting	Not Applicable
Plan Preparation	Not Applicable
Submission of Plans as provided under Annex C	Not Applicable
Construction Permit Processing	Not Applicable
Start of Construction	Not Applicable
Completion of Construction	Not Applicable
Permit to Open	Not Applicable
Start of Operations	Not Applicable

Rental Commencement Date: **08 February 2021**

Rent: A monthly fixed rent per square meter equivalent to:

PERIOD	FIXED RENT
08 February 2021 to 31 July 2022	**P25,000.00/month**
01 June 2023 to 31 December 2023	**P27,000.00/month**
01 January 2024 to 31 December 2024	**P30,000.00/month**
01 January 2025 to 30 June 2026	**P34,500.00/month**

*plus applicable VAT

Construction Bond: **Not applicable**.

Additional Security: Six (6) months' Fixed Rent or **P207,000.00** should be maintained at this level at all times; subject to adjustment if Fixed Rent increases; payable on date specified in the applicable statement of account (Art. 4.4; Annex B).

General Leasing Expenses: payable on date specified in the applicable statement of account (Arts. 4.7, 4.8, 4.9, 6.2; Annex B):

CHARGES	RATES/AMOUNTS
Common Area charges	Effective **08 February 2021** to **30 June 2022** **P130.00** per square meter per month (plus VAT) Effective **01 July 2022** to **31 May 2023** **P140.00** per square meter per month (plus VAT) Effective **01 June 2023** to **30 September 2024** **P150.00** per square meter per month (plus VAT) Effective **01 October 2024** to **23 October 2025** **P160.00** per square meter per month (plus VAT) Effective **24 October 2025** to **30 June 2026** **P200.00** per square meter per month (plus VAT)
Centralized Air-conditioning	Effective **08 February 2021** to **31 December 2022** **P125.00** per square meter per month (plus VAT) Effective **01 January 2023** to **30 June 2023** **P140.00** per square meter per month (plus VAT) Effective **01 July 2023** to **30 September 2024** **P150.00** per square meter per month (plus VAT)

Witness

Witness

Lessee

Signed in the presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By

Attorney-in-Fact

CONTRACT OF LEASE

This Contract of Lease (this "Contract"), made and entered by and between:

BAY CITY COMMERCIAL VENTURES CORP., a corporation duly organized and existing under and by virtue of the laws of the Philippines, domiciled and with postal address at 5th Floor One Ayala 1 Ayala Avenue Ayala Center San Lorenzo, City Of Makati, being represented herein by its duly authorized Attorneys-in-Fact, **MARIA CRISTINA K. BALTAZAR** and **IRENE CONCEPCION C. ALZOLA,** by virtue of the powers conferred upon them (hereinafter referred to as the "LESSOR")

-and-

MARY GRACE FOODS INC., a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office at **2985 Mahogany St. United Parañaque Subd 2 San Martin De Porres, Parañaque City**, and represented in this act by its Director, **ADRIAN P. DIMACALI**, by virtue of the powers conferred upon her (hereinafter referred to as the "LESSEE");

WITNESSETH:

For and in consideration of the payment of rents and other sums due hereunder, and the faithful compliance with all the conditions and covenants hereinafter contained, the LESSOR hereby leases, lets, and demises unto the LESSEE, and the latter does hereby accept under lease, floor space constituting the Leased Premises, as shown in the attached sketch plan marked as Annex A which is made an integral part of this Contract.

This lease is granted by the LESSOR and accepted by the LESSEE subject to the following terms, covenants, conditions and restrictions.

ARTICLE 1 - DEFINITIONS AND INTERPRETATION

1.1 **Definitions:** As used herein, the following terms shall have the following respective meanings:

"***Affiliate***" means any corporation, partnership or other form of association (i) 20% or more of the voting shares of which are owned or Controlled directly or indirectly, by a party, or (ii) directly or indirectly Controlling such party, or (iii) Controlled by or under Common Control with such party.

"***Commercial Center***" shall refer to Ayala Malls Vertis North, a commercial development in Quezon City.

"***Common Areas***" refer to all areas and facilities in the Commercial Center installed and provided by the LESSOR at its own expense and designated by the LESSOR for the general use and convenience of all lessees in the Commercial Center, their respective employees, customers and guests. Without limiting the generality of the foregoing, Common Areas shall include parking areas, driveways, pedestrian malls, passageways, sidewalks, bridgeways, corridors, covered or airconditioned malls and comfort rooms.

"***Common Parking Areas***" shall refer to parking areas located in the Commercial Center, established, operated, maintained and designated for the common use of the lessees of the Commercial Center, their respective clients, customers, guests or employees.

"***Control***" (Including with correlative meanings, the terms "Controlling", "Controlled by" and under "Common Control") means the power to direct or cause the direction of the management and policies of any corporation, partnership or other form of association, whether through the ownership of voting stock by contract or otherwise.

"***Force Majeure***" shall mean an act, event or cause which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of the LESSOR or the LESSEE. This term includes rebellion, insurrection, labor unrest, lockout, work stoppage, strikes on a citywide or nationwide scale, flood, typhoon, earthquake, robbery, theft, terrorism, or any other crime.

"***Gross Sales***" shall mean the selling price or total consideration for the sale, whether in cash or on credit, or partly for cash and partly on credit, of goods, wares, food, drinks or other merchandise by the LESSEE, its Consignor, Sub-Lessee or any party in, upon or from the Leased Premises, and the total consideration for the performance of any service or act within the Leased Premises, and the use of any of the facilities thereof, accruing to the LESSEE, its Consignor, Sub-Lessee or any party while remaining or occupying any part of the Leased Premises, regardless of whether such selling price or consideration shall be actually collected or received by the LESSEE, its Consignor or Sub-Lessee. The term shall include cash overages; receipts from gift-wrapping or other services; sale of promotional items; monthly gains from foreign exchange transactions (net of losses to the extent of the gain); deposits not refunded to purchasers; charges for sales on credit; charges for services rendered by other stores or offices of the LESSEE, its Sub-Lessee or Consignor, or for goods, food, wares, drinks, or other merchandise directly or indirectly ordered from or caused by the LESSEE's or Sub-Lessee's or Consignor's establishment in the Leased Premises; online sales or orders received from online platforms which are fulfilled in the Leased Premises whether for delivery or customer pick-up; reimbursements received for damaged goods; local taxes or any other tax and other miscellaneous income. The term shall exclude returns and refunds; recoveries from bad debts on which rent had previously been paid; sales discounts (provided these are separately recorded in the sales invoices and books of accounts); the amount of the value-added tax, sales tax or other similar taxes imposed by the national government as determined under applicable law, when these are recorded separately in the books of accounts of the LESSEE, its Sub-Lessee or Consignor and/or separately billed to their respective customers; service charges actually distributed; and the proceeds from the sale of the LESSEE's, its Sub-Lessee's or Consignor's used fixtures and office equipment which do not form part of their respective inventory and stock-in-trade. There shall be no adjustment of Gross Sales to take into account cash shortages and losses arising from foreign exchange transaction in excess of gain.

"***Leasable Area***" shall refer to the total floor space leased to the LESSEE, computed by measuring from the outside finish of the permanent outer building walls, and from the sides facing malls and other Common Areas, and to the center of partitions that separate such floor space from adjoining leasable areas, without any deduction for columns, projections or other structural elements.

"***Leased Premises***" shall refer to the area specifically described in Annex B.

"***Rental Commencement Date***" shall refer to the date at which the obligation of the LESSEE to pay rent shall commence and at which the LESSEE shall commence retail operations in the Leased Premises, or the date the LESSEE actually commences retail operations in the Leased Premises, whichever date comes first; provided that, in the event that the LESSOR is unable to transfer physical possession of the Leased Premises on the date determined in accordance with this sub-article for any of the reasons specified in Article 2.2 of the Contract, the Rental Commencement Date shall refer to the date to be determined by the LESSOR after it has been able to acquire physical possession of the Leased Premises from the prior lessee thereof.

1.2 **Interpretation:** The following rules shall be observed and applied in this Contract, except when the context clearly indicates otherwise: (a) the masculine gender includes the feminine and neuter, and vice versa; and (b) the singular number includes the plural, the plural singular.

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This lease may be renewed for a period specified in Annex B, upon the written agreement of the LESSOR and the LESSEE and under such terms and conditions as may be acceptable to them; provided that, the LESSEE shall have faithfully complied with all the terms of this Contract, and the LESSEE shall notify the LESSOR in writing of its desire to renew the lease at least ninety (90) days prior to its expiration. In the event that the LESSOR and LESSEE are unable to agree on the terms and conditions under which this lease shall be renewed within the ninety-day period prior to the expiry of this lease, then this lease shall automatically terminate and the LESSOR shall be entitled to the rights granted under this Contract by reason of such termination.

2.2 Delivery of Leased Premises: The LESSOR shall deliver to the LESSEE physical possession of the Leased Premises in "as is" condition on or before the date specified in Annex B for the delivery of the Leased Premises to the LESSEE. On or before the Rental Commencement Date, the LESSEE shall complete any and all works necessary to render the Leased Premises suitable for use in accordance with the plans and specifications approved by the LESSOR.

If the LESSOR is unable to transfer physical possession of the Leased Premises to the LESSEE on or before the date specified in Annex B for the delivery of Leased Premises due to (i) the refusal of a prior lessee to vacate the Leased Premises notwithstanding the termination of the lease term agreed upon between such prior lessee and the LESSOR, or (ii) any other reason beyond the control of LESSOR, the LESSOR shall not be subject to any liability for the failure to deliver the Leased Premises to the LESSEE on the date specified therefor in Annex B. Neither shall such failure affect the validity of this lease or the obligations of the LESSEE hereunder; provided that, the Rental Commencement Date shall be deferred to a date to be determined by the LESSOR.

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ARTICLE 3 - EXTENT AND USE OF THE LEASED PREMISES

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3.1 Use: The Leased Premises shall be used by the LESSEE itself only for the uses specified in Annex B. The LESSEE shall not divert the Leased Premises to other uses, without the prior written consent of the LESSOR, it being expressly agreed that if, at any time during the term of this lease and without the previous written consent of the LESSOR, the said premises are used for purposes other than what has been agreed upon, the LESSOR shall have the option to (a) cancel this Contract in accordance with Article 11 hereof and the LESSOR shall and thereupon become entitled to exercise all the rights provided hereunder; (b) increase the Basic Rent and/or Minimum Rent; or (c) compel the LESSEE to stop the unauthorized activities.

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3.2 Conduct Of Business: The LESSEE shall at all times, during the term of this lease, conduct its business in a reputable manner in accordance with the urban design quality of the Commercial Center and the business and operating standards of a first-class commercial center. LESSEE shall comply with all laws, ordinances, rules and regulations and issuances promulgated from time to time by national and/or local governments, as well as government agencies and other regulatory bodies. All the government permits, licenses, authorizations, registrations or requirements which are necessary or appropriate for the conduct of business by the LESSEE in the Leased Premises shall be obtained by the LESSEE and shall be maintained by the LESSEE for the duration of the lease term, and all costs and expenses to be incurred in connection with these permits, licenses, authorizations, registrations or requirements shall be for the account of the LESSEE.

Signed in the presence of

Lessee

3.3 Common Use: The lease of the Leased Premises from the LESSOR shall include the use in common by the LESSEE and other lessees of the Common Areas of the Commercial Center as far as the same are necessary for the use or enjoyment of the Leased Premises and subject to the right of the LESSOR to restrict such use in any way.

3.4 Exclusive Rights Of Lessor: The grant of this lease shall not prejudice or adversely affect the following exclusive and absolute rights of the LESSOR to the extent specified below:

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(a) to provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or may be hereafter be installed in, on or under the Leased Premises, serving or capable of serving the Commercial Center or any adjoining property, and to enter the Leased Premises to inspect, repair or maintain such conduits, pipes, wires, cables or ducts;

(b) to erect, alter or consent to the erection or alteration of any building located or to be located on any adjoining or neighboring property, notwithstanding that such erection or alteration may diminish the access of light, view or air enjoyed by the Leased Premises, or to deal with such neighboring or adjoining property as the LESSOR shall see fit;

(c) to enjoy subjacent and lateral support from the Leased Premises for the remainder of the Commercial Center;

(d) to name or re-name the Commercial Center with any such style or name and from time to time, to change, alter, substitute or abandon any such name, without compensation to the LESSEE or the other tenants of the Commercial Center; provided that, the LESSOR shall give the LESSEE not less than two (2) months' prior written notice of the LESSOR's intention to do so;

(e) to improve, change, alter, extend, reduce, add or otherwise deal with the arrangement, design or decoration of the Common Areas, provided that in exercising such right the LESSOR will endeavor to cause as little inconvenience to the LESSEE as practicable under the circumstances;

(f) to make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Commercial Center, or the operation and use of the Common Areas, Common Parking Areas, private roads, sidewalks, malls, driveways, entrances or exits in the Commercial Center;

(g) to appoint, ratify or confirm any person or firm to manage and administer the Commercial Center and to delegate to such person or firm the power to adopt rules and regulations as it shall deem necessary for the management, maintenance or operation of the Commercial Center, and to implement the rules and regulations adopted by the LESSOR pursuant to Article 3.4 (f), and for this purpose, any notice, act, decision, forbearance or consent required to be given or done hereunder shall be fully and effectively done or given if expressed to by or on behalf of such person or firm; and

(h) to undertake the improvement of the Commercial Center or any development work in an adjoining lot, within the vicinity of the Commercial Center or within the area of the Commercial Center

(i). To relocate the LESSEE to a mutually agreed location in case of redevelopment of the Commercial Center or rezoning within the Commercial Center undertaken by the LESSOR without incurring any liability, and for this purpose, the LESSEE shall not hold the LESSOR liable for any resulting disturbance or discomfort arising out of relocation due to redevelopment and/or rezoning

3.5 Extent Of Leased Premises: This lease does not extend to the outside portions of the Commercial Center corresponding to or opposite the Leased Premises. The Common Areas within the Commercial Center are likewise not part of the Leased Premises, and no merchandise or other property of the LESSEE shall be placed therein or thereon. The LESSOR shall have the right to cause the removal of merchandise or other property belonging to the LESSEE found on or within the corridors, hallways or other Common Areas of the Commercial Center and charge the cost of removal, handling and storage (if necessary) to the LESSEE.

3.6 No Goodwill: The grant to the LESSEE of the physical possession, use and enjoyment of the Leased Premises confers no goodwill or patronage rights over the Leased Premises to the LESSEE, it being recognized that such rights exclusively belong to the LESSOR as owner of the Leased Premises. Neither shall the LESSEE have any right to sell or dispose of said goodwill or patronage rights to any person.

(b) The LESSOR shall offer to grant the LESSEE a new lease of other premises ("New Premises") within the Commercial Center ("New Lease"). The Notice of Relocation shall already indicate the details of the New Premises, and the deadline of the LESSEE to relocate ("Relocation Deadline").

The LESSOR shall use best reasonable effort when exercising its rights under this clause to relocate the LESSEE to New Premises having a substantially similar internal area to the Premises. The Parties acknowledge and agree that, provided that the internal area of the New Premises is not larger than, or not smaller than, the internal area of the Premises by a margin of more than 10%, the LESSOR will have satisfied its obligation to use reasonable effort under this Clause.

3.7.1 The New Lease will commence on the day immediately after the Relocation Deadline for the original Leased Premises, and will be on the same terms and conditions as contained in this Contract provided that:

(a) the term of the New Lease will be the remainder of the Term or such other term as the LESSOR and the LESSEE may agree to writing, and

(b) this Contract will be amended to reflect changes applicable to the New Lease including but not limited to new minimum sales, if applicable, other adjustments taking into account the difference in size and/or commercial values of the Leased Premises and the New Premises, and such other conditions as the LESSOR and the LESSEE may agree to in writing.

3.7.2 If the New Premises are not acceptable to the LESSEE, this Contract is deemed terminated on the Relocation Deadline, and the LESSEE must vacate the Leased Premises and turn over the same to the LESSOR in accordance with the provisions of this Contract.

3.7.3 If the New Premises are acceptable to the LESSEE, then the LESSEE shall:

(a) vacate the Leased Premises on the date indicated in the notice of relocation;

(b) execute the New Lease and deliver the same to the LESSOR before its commencement date;

if the relocation results in the Rent being increased, provide the LESSOR with the proportionate increase in the Additional Security.

Witness

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Signed in the presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By

Attorney-in-Fact

ARTICLE 4 – RENT, OTHER PAYMENTS AND SALES REPORTS

4.1 **Rent:** The commencement of the obligation of the LESSEE to pay rent and the determination of the amount of rent due from the LESSEE shall be governed by the provisions of Annex B. The rent shall be liquidated and paid on a monthly basis in accordance with the provisions of Annex B at the principal office of the LESSOR or at such other place as LESSOR may by notice in writing to LESSEE from time to time direct, without necessity of demand or the performance by a collector of collection services. Payment of rentals shall be made by check made payable in the name of ***BAY CITY COMMERCIAL VENTURES CORP.*** or direct bank deposit or transfer to the designated bank account of the LESSOR. The receipt of a check in payment of the rentals due hereunder shall not produce the effect of payment until the amount thereof is actually received in good cleared funds. In case of payment made via bank deposit or transfer, proof of deposit or transfer shall be uploaded to the Ayala Malls Merchant Portal.

Payment of rentals shall be made net of the required withholding tax on rentals. The LESSEE shall remit the taxes withheld directly to the Bureau of Internal Revenue and shall indicate in the creditable withholding tax return to be filed with the latter that the taxes being withheld are to be credited to the LESSOR. The creditable withholding tax certificate (BIR Form 2307) shall be submitted by the LESSEE to the LESSOR on or before the due date indicated in the relevant statement of account. Failure of the LESSEE to timely provide the creditable withholding tax certificate (BIR Form 2307) on or before the due date indicated in the relevant statement of account shall entitle the LESSOR to collect such amount from the LESSEE for proper remittance to Bureau of Internal Revenue and to charge interest and penalty for any late payment thereof. For the avoidance of doubt, the LESSOR will no longer accept submission of creditable withholding tax certificates from the LESSEE once LESSOR has paid such taxes directly to the Bureau of Internal Revenue.

It shall be understood, however, that the LESSOR shall have the right at any time during the lease term or renewal thereof to designate a different manner of payment of the rentals due hereunder, including designating another party to whom the payment of such withholding taxes shall be credited.

4.2 **Taxes:** In the event that at any time during the term or renewal of this lease, the real property tax on the Commercial Center is increased or there is levied any new or additional assessment or charge on the Commercial Center, then the Regular Basic Rent or Regular Minimum Rent in force on the date the real property tax, assessment or charge is increased or imposed, shall likewise be increased in direct proportion to the increase in or additional real property taxes, assessment or charge.

Other than the LESSOR's income taxes or taxes required to be withheld from the rental due to the LESSOR which shall be credited against its income taxes, all taxes due by reason of the receipt of rental and all other amounts which the LESSEE is required to pay the LESSOR as provided hereunder, as well as the documentary stamp taxes or other taxes accruing by reason of the execution of this Contract shall be for the account of the LESSEE.

4.3 **Construction Bond**: Prior to any construction or renovation of the Leased Premises, the LESSEE shall submit a cash construction bond with a face amount equal to the amount specified in Annex B as security for the repair or reconstruction of any damage caused to the property of the LESSOR or of any tenant or occupant in the Commercial Center arising out of or in connection with the fault or negligence of the contractors, suppliers or workers undertaking such construction or renovation or the failure of the LESSEE to comply with the LESSOR's Construction Guidelines/Tenant Fit-Out Guidelines and House Rules, and all other requirements prescribed by the LESSOR for the performance of such construction or renovation work. The construction bond shall be returned to the LESSEE without interest after the completion of construction or renovation work, less any construction-related charges due to the LESSOR, subject to the LESSEE's compliance with all the conditions specified for the return of the bond under the Construction Guidelines/Tenant Fit-Out Guidelines and House Rules.

4.4 **Additional Security:** On the date specified in the applicable statement of account to be sent by the LESSOR, the LESSEE shall provide the LESSOR with additional security in cash in an amount specified in Annex B to answer and stand as security for the proper and due performance of all the LESSEE's obligations under this Contract. The existence of such security, however, does not and should not excuse the LESSEE's non-payment of rent on a regular monthly basis, or of any other sum required to be paid hereunder on the due date specified therefor. The additional security shall be maintained by the LESSEE at the level specified in Annex B, and shall also be increased correspondingly by the LESSEE as and when the Regular Minimum Rent increases. Such increase shall be payable on the due date specified in the applicable statement of account.

The security referred to in this Article shall be forfeited in favor of the LESSOR upon the occurrence of the following events: (i) the LESSEE fails to occupy the Leased Premises for the full term of the lease or any extension or renewal thereof, or (ii) this Contract is terminated by the LESSEE for whatever reason prior to expiry date of its term. Upon the occurrence of any of these events, the security (or the balance thereof which should otherwise have been returned to the LESSEE had such termination not have occurred) shall be forfeited in favor of the LESSOR, in addition to whatever damages which may be due to the LESSOR arising from the failure of the LESSEE to occupy the Leased Premises or due to the termination of this Contract. In the event, however, that this lease is terminated at the instance of the LESSOR without any fault or negligence of the LESSEE but with its conformity, the security shall be returned to the LESSEE, net of the amounts which may be deducted therefrom under this Article.

4.5 Inflation Or Deflation: Should extraordinary inflation or deflation of the currency of payment as stipulated hereunder supervene during the effectivity of this Contract, the value of the currency on date hereof shall be the basis of payment as provided in Article 1250 of the Civil Code of the Philippines.

4.6 Interest And Penalty: Without prejudice to the exercise by the LESSOR of its rights under the penal provisions herein, the LESSEE shall pay to the LESSOR interest on the principal amount of rent and other charges or amounts herein provided to be paid by the LESSEE that is not paid or tendered on time, at the rate of 1% per month or at the maximum prevailing interest rate allowed by law to be determined by the LESSOR at the time the obligation is due if said maximum prevailing rate is higher than 1% per month, to be computed from the date of delinquency until paid in full.

In addition to the preceding interest charges, all arrears on the principal amount of rent and other charges shall be subject to a penalty at the rate of 2% per month, to be computed from the date of delinquency until fully paid.

Interest and penalty charges shall be computed daily and shall apply to any and all arrearages in the amounts herein provided to be paid by the LESSEE including, but not limited to, rents, utility charges, share in common area charges and deposits. In case of cancellation or termination of this Contract due to default or breach of its terms, the LESSEE shall pay the LESSOR all unpaid rents, fees, charges, assessments and reimbursements to which the LESSOR may be entitled.

4.7 General Leasing Expenses: In addition to the payment of rental and other amounts due hereunder, the LESSEE shall pay on the due date specified in the applicable statement of account for its monthly share in general leasing expenses incurred or to be incurred by the LESSOR in connection with the proper operation and maintenance of the Commercial Center and the enhancement of property value therein, at a rate or in an amount specified at Annex B. General Leasing Expenses shall include expenses and other costs incurred in the (i) operation, management, maintenance and repair of Common Areas in the Commercial Center, such as but not limited to, expenses for the ground maintenance, drainage, electrical facilities, landscape maintenance, janitorial services, pest control services, security, water, air-conditioning and electrical charges; (ii) expenses incurred in advertising and promotional activities including inaugurations; and (iii) the cost of supplying and maintaining air-conditioning for the Leased Premises on a monthly basis as may be applicable. The obligation of the LESSEE to reimburse the LESSOR its share in the general leasing expenses shall commence upon turnover of Leased Premises. For this purpose, the LESSEE authorizes the LESSOR and delegates to the latter the responsibility of choosing and engaging the services of the utility/service agencies who shall be in charge of certain aspects of the operation, management, maintenance and repair of Common Areas in the Commercial Center.

The rate or the amount specified in Annex B shall be correspondingly increased in the event that the utility company or service agency increases the utility/service charges payable in connection with the service or utility provided to the Common Areas or Leased Premises. The amount of such increase which shall be determined solely by the LESSOR shall be effective and demandable on or during the month in which the increase in the charges shall have been implemented by the utility company or service agency.

4.8 Advertising And Promotional Expenses: In order to promote the business in the Commercial Center where the Leased Premises is located, the LESSOR may conduct from time to time advertising and promotional activities including inaugural activities and loyalty reward programs which it may consider appropriate, and the LESSEE agrees to participate and share with all the other lessees in the Commercial Center in the costs and expenses of such advertising and promotional activities at a rate or in an amount specified in Annex B. The LESSEE's share shall be paid on the date specified in the applicable statement of account. In the event that the lease is terminated prior to the expiry of the term whether by the LESSOR or LESSEE, the Advertising and Promotional fee paid by the LESSEE for the corresponding year shall be deemed forfeited.

4.9 Other Utilities: The deposits, fees, costs or other charges to be incurred for supplying the Leased Premises with power, water, telephone, telecommunications, garbage disposal and other public services or utilities shall be borne by the LESSEE and shall be based on the actual consumption or use thereof by the Leased Premises. To the extent applicable, the LESSOR may require the LESSEE to make payment of such deposits, fees, costs or other charges directly to the company supplying the utility or public service. For this purpose, the LESSOR shall be entitled to require the LESSEE to install an electric meter for the exclusive use of the Leased Premises and effect the payment of charges for electrical consumption directly to the public utility company concerned. Should such direct payment be not feasible in the opinion of the LESSOR, then the LESSOR shall determine the liability of the LESSEE for such deposits, fees, costs or other charges on the same basis which utility or service companies use in determining the LESSOR's liability to such companies for supplying such utilities or services to the Commercial Center. The LESSOR shall be entitled to charge the LESSEE a reasonable service charge for the administrative services relative hereto, whether or not payment by the LESSEE of such deposits, fees, costs or other charges shall be made directly to the public utility companies. The service charge shall be made payable on the due date specified in the applicable statement of account. Reimbursement for or payment of deposits, fees, costs, or other charges for the use or consumption of water, electricity or other utilities for the Leased Premises which are not paid directly to the utility companies during any given month will be payable to the LESSOR on the due date specified in the applicable statement of account.

4.10 Lien: Unpaid rent and charges payable by the LESSEE to the LESSOR under this Contract shall constitute a preferred lien upon all property found within the Leased Premises to secure payment of all claims LESSOR may have against the LESSEE. For this purpose, LESSOR is hereby authorized to prevent removal of the said properties from the Leased Premises or demand their return from any possessor thereof in the event that the LESSEE shall default in any of its payment obligations under this Contract of Lease, in addition to the exercise of its rights under Article 11 (Termination and its Consequences).

4.11 Application of Payments: The following rules shall govern the application of payments made by the LESSEE: (a) any payment received by the LESSOR shall be applied against and for the payment of the amounts payable and accruing under the statement of account or billing with the earliest date, irrespective of any instruction of the LESSEE to cause the application of such payment for a specified statement of account, purpose, nature, item or amount; and (b) in the event that the amounts due and payable representing rent, interest, penalty or other charges are covered by one statement of account or billing, then the payment received by the LESSOR which is to be applied to such statement of account or billing shall be applied in the payment of obligations stated therein in the following order of priority: (i) any deficiency in the security deposit, (ii) performance bond, (iii) construction bond, (iv) utilities such as but not limited to electricity, air-conditioning and water charges, (v) common area charges, (vi) advertising and promotional charges, (vii) rent, and finally (viii) interest and penalty. Should the payment received by the LESSOR be insufficient to completely settle any outstanding obligation, whether covered in one statement of account or billing or otherwise, then subsequent payment(s) to be received from the LESSEE shall be applied first in the payment of any amount remaining unpaid under the statement of account or billing with the earlier date.

4.12 Sales Monitoring: The LESSOR will adopt an electronic recording and/or processing system to monitor the sales and operations of the tenants in the Commercial Center as prescribed by the LESSOR in Annex B. The LESSEE agrees, and shall ensure that its Sub-Lessees and Consignors agree, to use or install in the Leased Premises or portion thereof such necessary sales monitoring equipment with communication capability and other equipment as may be required by the LESSOR to be connected to the system, and to adopt such recording and documentation methods and procedures which shall be compatible with such system. The cost and expense of installing such system or of upgrading the present system of the LESSEE, its Sub-lessees or Consignors to a level which is at least equal to or compatible with such system shall be for the account of the LESSEE, its Sub-lessees or Consignors (as the case shall be). It is understood that the LESSEE shall, and shall ensure that its Sub-Lessees shall, coordinate with the LESSOR on the selection and installation of all sales monitoring equipment.

The LESSEE shall actively involve the LESSOR, and shall ensure that its Sub-Lessees and Consignors likewise actively involve the LESSOR, and the LESSOR shall actively participate, in the installation of an electronic recording and/or processing system within the Leased Premises for the purpose of providing the LESSOR direct access to the Point of Sale and Electronic Cash Register terminals of the LESSEE, its Sub-Lessees and Consignors. The terms "Point of Sale" and "Electronic Cash Register" shall mean the system by which every sale of the LESSEE or each of its Sub-Lessees or Consignors is recorded and accepted.

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system which will accurately reflect the transactions effected within the Leased Premises as basis for determining the rent due from the LESSEE. The LESSEE shall keep, and shall ensure that its Sub-Lessees and Consignors keep, all sales invoices (bearing only the name and address of the branch of the LESSEE operating in the Leased Premises), sales summaries, official receipts, cash register tapes, books of accounts, such as but not limited to, the general ledger, cash receipts books and sales books, cash disbursement books, suppliers' invoices, consolidated books of account, supporting papers, Gross Rental Income, Consignment Contracts, Sub-leases and other business records the LESSOR's authorized representatives may deem reasonably necessary to determine the LESSEE's, each Sub-Lessee's and Consignor's Gross Sales and/or Gross Consignment Income. The LESSEE shall further be required to assign separate receipt booklets for each of its Sub-Lessees and Consignors in order to segregate the records of sales pertaining to each of them. These records shall be preserved for a period of three (3) years. The LESSEE shall allow, and shall ensure that its Sub-Lessees and Consignors allow, the authorized agents of the LESSOR to enter into any part of the Leased Premises at all reasonable times during the term of this lease and to examine and photocopy all documents and records specified herein, and other pertinent records that are reasonably necessary to accurately determine the basis of rentals herein agreed upon, all with the least inconvenience and/or disturbance to the LESSEE, its Sub-Lessees, Consignors or their respective operations. For this purpose, the LESSEE undertakes to make said records available to the authorized agents of the LESSOR at the Leased Premises during office hours on the date scheduled by the LESSOR, or any postponement or resetting thereof. The LESSOR may require the LESSEE to send the documents and records to the LESSOR if said records are maintained elsewhere. In the event no photocopying machine is available within the Leased Premises, the LESSEE shall allow, and shall ensure that its Sub-Lessees and Consignors allow, the LESSOR's representative to bring out the necessary documents from the Leased Premises for photocopying; provided that, the LESSOR's representative shall be accompanied by the respective personnel of the LESSEE, its Sub-Lessees or Consignors. Any record or information thus obtained shall be considered confidential, material and important and, unless the LESSOR is required by any proper government agency or legally obliged to do so, the LESSOR shall not at any time or in any manner reveal or disclose such record or information without permission from the LESSEE.

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In case the LESSEE has other branches, separate records of the sales of such other branches (including without limitation, receipts and books of accounts) which were derived from, or which were effected due to the LESSEE's operations in the Leased Premises shall be maintained at all times in the Leased Premises.

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4.15 Other Remedies of Lessor in Case Of Non-payment: In the event that the LESSEE fails to pay the rent or any other amount due hereunder including the charges or fees incurred in connection with the supply, consumption and use of utilities and other public services on the relevant dates specified for their payment, the LESSOR shall have the following rights: (i) to disconnect or discontinue the supply thereof for such period as it shall determine; or (ii) at its own discretion, appoint one or more representatives to act as cashier and/or collecting agent of Lessee's daily gross sales and deduct therefrom the equivalent of the daily rental payment due to the Lessor until the outstanding rent has been paid in full. The cost of the appointment of one or more representatives to act as cashier and/or collecting agent shall be for the account of the Lessee. The rights of the LESSOR herein shall be in addition to the other rights provided for in Article 11.2.

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ARTICLE 5 - COMMON AREAS AND PARKING

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5.1 Use Of Common Areas: During the term of this lease, the LESSEE and its respective employees, agents, customers and guests shall have the NON-EXCLUSIVE right to use the Common Areas in the Commercial Center in common with all the other lessees of the Commercial Center, subject to any rights, powers and privileges reserved to the LESSOR as provided hereunder. The LESSEE shall also have the right to use the Common Areas in common with all the other lessees, subject to any rights, powers and privileges reserved to the LESSOR. It is hereby understood that the LESSEE's privilege to use the Common Areas is not made an integral part of this lease. Consequently, the use by the LESSEE of such areas may be denied, restricted or regulated pursuant to this Article.

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5.2 Operation By The Lessor: During the term of this lease, the LESSOR shall operate, manage and maintain the Common Areas; provided that, the management, operation and maintenance of specific areas and facilities chosen by the LESSOR in the Common Areas of the Commercial Center may be delegated by the LESSOR whenever necessary. The manner in which the Common Areas shall be maintained, operated and managed, and the amounts to be spent for such maintenance, operation and management, shall be subject to the sole discretion of the LESSOR. The LESSOR shall have the right from time to time to promulgate rules and regulations governing the use of the Common Areas by the lessees of the Commercial Center, their agents, customers and guests, and shall have the right to restrict or deny the use of or access to any part of the Common Areas, to such extent as may be legally sufficient in the opinion of the LESSOR's counsel, to prevent a dedication thereof, or the accrual of rights of any person or of the public therein, or for any reason which the LESSOR believes shall redound to the benefit of all or some of the lessees in the Commercial Center.

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5.3 Parking: The LESSEE shall have the NON-EXCLUSIVE right to use, jointly with the other lessees in the Commercial Center, the Common Parking Areas in the Commercial Center in the vicinity of the Leased Premises. Such use shall be subject to the following restrictions and regulations and to such other restrictions and regulations as may be promulgated from time to time by the LESSOR

(a) Vehicles owned or used by the LESSEE, its employees, guests, customers or clients may be parked in any of the Common Areas designated for parking within the Commercial Center, subject to the payment of the fees or charges assessed by the LESSOR for such use. Delivery vans, trucks or vehicles owned or used by the LESSEE's suppliers or other third persons for the purpose of delivering any merchandise or commodity to the LESSEE shall not be allowed to park in Common Areas designated for parking nor along any road in the Commercial Center but shall for the purpose specified above, use the area of the Commercial Center designated by the LESSOR as a service area. At no time shall the LESSEE allow its business operations or activities to obstruct free ingress or egress to and from the Common Areas or obstruct any road in the Commercial Center.

(b) The LESSEE, its employees, guests, customers or clients who use the Common Areas designated for parking within the Commercial Center may be charged parking fees at the same rates charged to the general public. The LESSEE recognizes the absolute discretion of the LESSOR to fix the amount of the parking fees to be charged for the use of such parking areas.

(c) The LESSEE recognizes the right of the LESSOR at any time to (i) re-locate driveways, entrances and exits leading to or from the Common Areas; (ii) increase or decrease their area; (iii) close existing Common Areas designated for parking and establish new areas for parking in different location(s); (iv) reserve certain areas within the Common Areas to be used as the parking area of specific tenants of the Commercial Center; (v) increase, decrease, re-arrange or otherwise change the parking slots or parking patterns found therein; (vi) provide additional or elevated parking spaces; (vii) construct, install or make such improvements as it shall deem fit in Common Areas or effect alterations of existing improvements; or (viii) limit the use of certain portions of the Common Areas by employees, guests, customers or clients or certain lessees of the Commercial Center as the LESSOR shall determine, including the use of such areas for parking.

ARTICLE 6 - PUBLIC UTILITIES AND SERVICES

6.1 Installations: The Leased Premises shall be provided with necessary connections for water and electrical utilities. The LESSEE may, if it so desires, request the LESSOR for the installation at the LESSEE's expense of additional comfort rooms or other public utility fixtures or facilities, including without limitation, electric, water, telephone fixtures or facilities. The LESSOR may choose to deny or approve such request at its discretion or subject its approval of the same to such conditions as the LESSOR may impose. All permits which may be required for the installation and operation of these additional fixtures and facilities when so approved by the LESSOR, shall be obtained and maintained by the LESSEE at its expense. The LESSEE shall at all times keep in good order, condition and repair the electrical and other mechanical equipment within or serving the Leased Premises and to pay for their maintenance and electric consumption. It shall be understood that cost of airconditioning repairs within the Leased Premises shall be for the account of the LESSEE. The LESSEE shall also be responsible for the payment of all charges, costs, expenses, dues, assessments, levies, taxes or insurance premiums which may be imposed or collected in connection with the installation, operation, repair or maintenance of such additional fixtures and facilities. The LESSEE shall comply with all the rules, regulations and requirements imposed by the appropriate government agencies or

and appurtenances connected therewith, or performing all other acts necessary to ensure public safety and the preservation of the utility lines and facilities.

6.2 **Emergency Power:** The LESSOR has the option to install and operate a power generator for the Commercial Center. Should the LESSOR exercise such option, the LESSEE shall pay the LESSOR a service charge for the operation and maintenance of the power generator at the rate fixed by the LESSOR. The service charge shall be paid for by the LESSEE on the date specified in the applicable statement of account and shall be subject to the same interest and penalty specified under Article 4.6.

ARTICLE 7 - LESSEE'S ADDITIONAL COVENANTS

The LESSEE agrees that in addition to its other undertakings under this Contract, and unless it has obtained the prior written consent of the LESSOR for the performance of an act or deed which is otherwise prohibited under this Contract:

7.1 **Assignment Or Transfer:** The LESSEE shall not assign or transfer its rights under this Contract, nor sub-lease all or any part of the Leased Premises or enter into any arrangement whereby the use or possession of any part of the Leased Premises is transferred to any person, irrespective of whether rental or other consideration is given therefor. No right, title or interest to, in and under this Contract or the Leased Premises shall be deemed conferred or vested in any person other than the LESSEE, to the extent specified herein, without the LESSOR's prior written consent.

7.2 **Mortgage:** The LESSEE shall not mortgage, encumber or create any security interest in and to the leasehold rights granted hereunder to the LESSEE.

7.3 **Notices And Signs:** The LESSEE shall not affix, inscribe or paint, or cause the affixing, inscribing or painting of, any notice, sign or other advertising media on any part of the Leased Premises or Commercial Center, including any sign or media which when illuminated shall be visible from outside the Leased Premises or which, in the opinion of the LESSOR, is of a lewd, obscene or otherwise offensive nature. If so allowed by the LESSOR, the sign or media shall be of such size and style as the LESSOR may determine. Neither shall the LESSEE permit or give consent to any person or entity to affix, inscribe or paint any notice, sign or other advertising media on the Leased Premises or on any part of the Commercial Center, as if said person or entity uses, holds office or is otherwise established at the Leased Premises or any part thereof. Only the name and nomenclature of the LESSEE as set out in this Contract shall be advertised in the directory of lessees to be maintained at the expense of the LESSOR. The LESSOR shall have the right to require the LESSEE to remove any sign which the LESSOR may consider to be inappropriate. Upon failure of the LESSEE to do so, the LESSOR shall have the authority, without incurring any liability, to enter the Leased Premises, remove any sign/s it may consider inappropriate, and charge the costs thereof to the LESSEE.

7.4 **Name Of The Building Or Commercial Center:** The LESSEE agrees that the LESSOR's name or the name of the Commercial Center shall not be used in any confusing, detrimental or misleading manner in connection with the LESSEE's own business or tradename, and upon termination of this lease, the LESSEE shall cease to use the name of the Commercial Center or any part thereof in any manner, whether in connection with the LESSEE's own business or tradename or otherwise.

7.5 **Alterations, Additions Or Improvements:** The LESSEE shall not make any alteration, addition or improvement within the Leased Premises or in any of the Common Areas or effect the installation of any fixture required by the conduct of its business, without the prior written consent of the LESSOR and then subject to such terms and conditions as may be imposed by the LESSOR as it deems fit. All alterations, additions or improvements made by the LESSEE as well as any alteration, improvement, addition or installation in or on the Leased Premises shall be done in good workmanlike fashion and at the LESSEE's cost. All building, architectural, engineering, conceptual plans and specifications for any alteration, addition or improvement shall be submitted to the LESSOR for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement. The LESSOR reserves the right to require the LESSEE to use the LESSOR's building contractor for any renovation of the Leased Premises when in the LESSOR's best judgment the proposed renovation may adversely affect any of the warranties or guarantees given by any of the contractors of the Commercial Center. The approval by the LESSOR of such alterations, additions or improvements shall in no event relieve the LESSEE from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. The LESSEE shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same. For purposes hereof, the LESSEE shall submit to the LESSOR the construction bond as required by Article 4.3 prior to the start of any construction or renovation of the Leased Premises.

Any alteration, improvement or installation placed in or on the Leased Premises by the LESSOR, shall remain the property of the LESSOR at the expiry or termination of this lease, and shall remain upon and be surrendered with the Leased Premises as part thereof.

7.6 **Drilling Or Defacing:** The LESSEE shall not make, permit or suffer any act, installation, alteration or addition to be made or done in or to the Common Areas, Leased Premises or any part of the Commercial Center which may cause damage thereof, including without limitation, any cutting, maiming, marking, defacing or drilling into or of any part of the Commercial Center, Leased Premises or Common Areas.

7.7 **Load Limitations:** The LESSEE shall not install or place any load, apparatus, equipment, article or thing in any part of the Leased Premises, the weight or location of which in the Leased Premises will violate the maximum load limitation for the Leased Premises as determined by the LESSOR for the floor of the Commercial Center where the Leased Premises is located. For this purpose, the LESSEE shall obtain the prior written approval of the LESSOR for the entry and/or removal of any load, apparatus, equipment, article or thing into and from the Leased Premises. The LESSEE shall also comply with the requirements imposed by the LESSOR for keeping such equipment, load or apparatus within the Leased Premises, including the use of supports of such dimension and material to distribute the weight of such equipment load or apparatus as the LESSOR may deem necessary. Neither shall the LESSEE install, without the prior written approval of the LESSOR, any air-conditioning equipment in the Leased Premises (which shall use only the air-conditioning equipment provided by the LESSOR) nor any other plant, equipment, apparatus or machinery which requires additional wiring or which consumes electricity not metered through the electric meter from which the LESSEE's consumption of electricity is calculated. The LESSEE shall not permit, suffer or cause any act to be done whereby the maximum allowable voltage capacity of the Leased Premises shall be exceeded.

7.8 **Shades, Awnings, Blinds:** The LESSEE shall not hang, fix or erect any shades, awnings, blinds or window guards of any description, shelters or coverings, wire or aerial wiring, supports, iron brackets or any other thing on any part of the Commercial Center, including the roof or exterior wall of the Leased Premises.

7.9 **Use Of Leased Premises Or Common Areas:** The LESSEE shall not use, cause or permit the use of the Leased Premises or Common Areas in any improper manner for any purpose other than that for which they are respectively intended. Without limiting the generality of the foregoing, the LESSEE shall not use or permit the Leased Premises or Common Areas to be used as sleeping quarters or domestic premises or allow any person to remain in the Leased Premises overnight, nor allow the Leased Premises or the Common Areas to be used for drying laundry, hanging or storing any article or thing thereon. The Common Areas shall not be used for loitering or eating. Unless expressly permitted, neither shall the Leased Premises be used as an eatery or as a place where food or beverages of any kind are served, unless served free or gratuitously to customers or visitors. The LESSEE shall not allow the Leased Premises or Common Areas to be used by any person for canvassing, peddling, touting or soliciting for business or distributing any booklet, pamphlet and advertising material or for any illegal or immoral purpose, or in any manner which may provide basis for the imposition of a fine, forfeiture or penalty against the LESSOR under the applicable law. Neither shall the Leased Premises be used for the manufacture or storage of goods, articles or things, other than storage of goods for the purpose of and in quantities consistent with the LESSEE's business as carried on at the Leased Premises, or keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance. No auction, fire, bankruptcy, close down or similar sales of a retail business nor any other unethical type of business operation shall be conducted in

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7.11 **Loading And Unloading Of Goods:** The LESSEE shall load and unload cargoes, goods, articles or things only during such hours and through such entrances and routes as shall be determined by the LESSOR from time to time.

7.12 **Maintenance Of Leased Premises:** The LESSEE shall well and sufficiently preserve, repair and maintain in good, clean, tenantable condition (reasonable wear and tear excepted), at its own cost, the interiors of the Leased Premises, including the flooring, interior plaster or other finishes, doors, windows, cables, conduits, wirings, sockets, electrical installations and plumbing fixtures found in or about the Leased Premises. All windows, glass or plate glass of or in the Leased Premises broken or damaged by the LESSEE due to the fault or negligence of the LESSEE, its guests, employees or agents shall be replaced at the cost of the LESSEE. The Leased Premises and all additions and installations supplied by the LESSOR shall be kept in good clean working condition and repair (reasonable wear and tear excepted). The LESSEE shall provide itself, at its cost and expense, with receptacles to hold and contain waste matter, garbage and refuse; shall keep the same in securely sealed containers and shall dispose of such garbage on a daily basis in the manner prescribed by the LESSOR. It shall keep drains, pipes, sanitary or plumbing apparatus, used exclusively by the LESSEE, its employees, guests, clients or customers in good clean and tenantable condition (reasonable wear and tear excepted) and in accordance with the requirements imposed by regulations of governmental authorities and the LESSOR. The LESSEE shall pay the LESSOR for all costs in cleaning, repairing or replacing any of the same when found to be blocked or stopped owing to the careless and improper use or neglect thereof by the LESSEE, its employees, clients, customers or guests.

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7.13 **Increase In Insurable Risk:** The LESSEE shall not use the Leased Premises, the Commercial Center or any part thereof in any manner which will cause insurance policies of the Leased Premises or the Commercial Center against loss or damage caused by fire, storm, typhoon or other insurable perils and/or claims by third parties to be rendered void and voidable, or whereby the premium due thereon may be increased; provided that, if as a result of any act, deed, matter or thing done or permitted by the LESSEE, the premium on any such insurance policy is increased, the LESSOR shall be entitled, without prejudice to any other remedy hereunder, to recover from the LESSEE the amount of such increase and shall be indemnified by the LESSEE against all claims, losses, damages or claims sustained or made against the LESSOR by any person as a result of a breach of this Article.

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7.14 **Nuisances:** The LESSEE shall not permit or suffer to be permitted any music or noise to emanate from the Leased Premises which in the reasonable opinion of the LESSOR may constitute a nuisance or annoyance or give cause for reasonable complaint from the LESSOR or other lessees. Neither shall it permit any odor or noxious smell which is in the sole opinion of the LESSOR offensive or unusual, to emanate from the Leased Premises, nor keep or suffer to be kept any animals or pets inside the Leased Premises.

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7.15 **Protection Against Pests:** The LESSEE shall take all such steps and precautions at its own cost to prevent the Leased Premises from becoming infested with termites, rats, mice, cockroaches or other pests or vermins. For this purpose, it agrees to utilize the services of the pest control agency recommended by the LESSOR to provide pest control services for the Leased Premises.

7.16 **Compliance With Rules:** The LESSEE shall obey and comply with the Construction Guidelines/Tenant Fit-Out Guidelines and House Rules, and with such rules and regulations or circulars as may from time to time be imposed, adopted, introduced or amended by the LESSOR, the person or firm appointed under Article 3.4(g) or the appropriate government agency. The LESSEE acknowledges the right of the Lessor to impose and amend monetary penalties on violations of such rules and regulations, including the Table of Penalties attached hereto as Annex D, subject to prior notice.

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7.17 **Permit To Enter:** The LESSEE shall permit the LESSOR, public utility companies and their authorized representatives at reasonable times to enter the Leased Premises for the purpose of undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by the LESSEE with the other lessees of the Commercial Center, inspecting the condition of the Leased Premises or for determining the LESSEE's compliance with this Contract. The LESSOR shall be entitled without incurring any liability whatsoever, in the event of an emergency to enter the Leased Premises as the LESSEE's attorney-in-fact, to undertake the necessary repairs or conduct the inspection thereof for the protection of the Leased Premises and the Commercial Center.

7.18 **Inspection Prior To Expiry Of Lease:** During the last three (3) calendar months immediately preceding the expiration of the term of this lease, the LESSEE shall allow, during business hours and upon prior written notice, the LESSOR's authorized representatives and prospective tenants to inspect the Leased Premises. During such period, the LESSOR may exhibit, where it shall think fit, a notice offering the Leased Premises for lease, which the LESSEE shall not conceal in any way.

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7.19 **Condition Of Leased Premises:** The LESSEE shall maintain the Leased Premises in good aesthetic condition at all times in line with the operating standards of a first-class commercial center. The LESSOR shall have the right to require the Lessee to renovate or implement restoration works, if in the reasonable discretion of the LESSOR, the Leased Premises is already outdated, dilapidated, and not aligned with the overall design scheme of the commercial center.

In case of relocation due to redevelopment of rezoning, the LESSEE shall return and surrender the Leased Premises in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted) or in strip-to-bare condition, within thirty (30) days from receipt of notice of relocation.

The LESSEE agrees to return and surrender the Leased Premises at the expiration or termination of the term of this lease (subject to any extension as may be granted at the sole discretion of the LESSOR) in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted) or in strip-to-bare condition, without any delay whatsoever. All alterations, additions, improvements, movable fixtures and enhancements made or introduced by the LESSEE in the Leased Premises (including the posters, signages decoration or advertising matters in the Leased Premises or any part of the Commercial Center) shall be demolished, removed or dismantled by the LESSEE, at its own cost, in a strip-to-bare condition and in such a way that it will not cause water leaks, power interruption, damage or destruction to the Leased Premises or any improvements introduced by the LESSOR therein (reasonable wear and tear excepted). Rectification of any damaged portion of the Leased Premises due to the demolition, removal or dismantling shall be at the expense of the LESSEE.

In the event the LESSEE fails to return and surrender the Leased Premises in accordance with this clause, the LESSOR shall have the right but not the obligation to demolish, remove or dismantle all alterations, additions, improvements, movable fixtures and enhancements made or introduced by the LESSEE in the Leased Premises and charge the LESSEE the costs thereof. Furthermore, should the LESSEE initiated the demolition, removal or dismantling and the same was not completed by the expiration or termination of the term of this lease, the LESSEE shall be charged a sum equal to twice the rental to be paid by the LESSEE to the LESSOR for the period during which the LESSEE retains possession of the Leased Premises and fails to restore and vacate the Leased Premises accordingly, which applicable rent shall be automatically deducted from the additional security provided by the LESSEE under Article 4.4.

Notwithstanding the foregoing, the LESSOR shall have the sole option to allow the LESSEE to return and surrender the Leased Premises as-is and retaining all alterations, additions or improvements made or introduced therein without additional compensation due the LESSEE. All keys giving access to all parts of the Leased Premises and/or the Common Areas (as applicable) shall be returned to the LESSOR.

7.20 **Hold-Over:** If the LESSEE fails to return the Leased Premises to the LESSOR in accordance with Article 7.19, the LESSEE shall pay the LESSOR, as damages, a sum equal to twice the rental to be paid by the LESSEE to the LESSOR for the period during which the LESSEE retains possession of the Leased Premises. The exercise by the LESSOR of its rights under this Article shall not be interpreted as a grant of permission to the LESSEE to continue in possession of the Leased Premises beyond the period allowed herein, and the damages due to the LESSOR hereunder shall be in addition to the damages which may become due to the LESSOR under Article 11.2.

ARTICLE 8 - REPRESENTATIONS AND WARRANTIES

8.1 **Mutual Warranties:** The LESSOR and the LESSEE represent and warrant in favor of each other that:

(a) each has full power, authority and legal right to execute, deliver and perform this Contract and has taken all the necessary corporate action to authorize the foregoing;

(b) this Contract constitutes the legal, valid and binding obligation of the LESSOR and the LESSEE, enforceable in accordance with its terms;

(c) the execution, delivery and performance of this Contract do not and will not violate any provision of, or result in a breach of or constitute a default under any law, regulation or judgment, or violate any agreement binding upon either of them or any of their property;and

(d) each is in compliance with and will continue to comply with the Anti-Money Laundering Act and applicable regulations in all relevant respects.

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8.2 **Additional Warranty of the LESSEE:** The LESSEE represents and warrants it provides and will provide complete, truthful, and accurate information and submits and will submit authentic documents which are subject for verification by the LESSOR. The LESSEE further warrants and represents that its funding does not or will not come from any unlawful activity as defined in the Anti Money Laundering Act, and shall only come from lawful sources or activities.

ARTICLE 9 - INDEMNITIES

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9.1 **Limitations On Liability Of Lessor:** Save by its gross negligence or willful misconduct, the LESSOR shall not be liable or responsible in any circumstance, whether tortious or otherwise, for any damage or disturbance suffered (whether directly or indirectly) by the LESSEE (whether personally or in respect of the Leased Premises or any contents therein) or by any of its employees, clients, customers or any other persons whosoever. Without limiting the generality of the foregoing, the LESSOR shall not be liable:

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(a) in respect of any loss, damage or injury sustained by the LESSEE or any such other person or any of their properties, caused by or through any accident, event or in any way owing to: (i) the failure, quality, inadequacy, fluctuation, interruption, malfunction, explosion or suspension of electricity, water, telephone, telex, facsimile, emergency power or other public utility services supplied to or intended for the Leased Premises or the Commercial Center; (ii) any seepage, overflow or leakage of water from any pipe, drain or automatic sprinkler system or any part within the Commercial Center or the influx of rain water into the Leased Premises or the Commercial Center; (iii) any activity of rats or other pests or vermins in the Commercial Center; (iv) any failure or breakage of glass of or in the Leased Premises or the Commercial Center; (v) any defect, mechanical breakdown, failure or need for repair, overhaul or any negligent or improper working or operation by any person whomsoever, of the facilities provided for the common use of the lessees of the Commercial Center or for the LESSEE in respect of the Leased Premises; (vi) Force Majeure; (vii) any escape of fumes, smoke, fire or other substances from anywhere within the Commercial Center; (viii) any escape of electric current from electric wiring or cable situated upon or in any way connected with the Commercial Center or any part thereof, or any vibration from or of any part of the Commercial Center or adjoining or neighboring premises; (ix) any act, neglect or default of the LESSEE or other lessees of the Commercial Center or of adjoining neighboring premises, or any of their respective employees, clients, guests or customers; (x) any defective or damaged condition of the Leased Premises or Commercial Center; or (xi) any violation of the provisions hereof or the rules and regulations adopted by the LESSOR, person or firm appointed under Article 3.4(g), or by any appropriate government agency in connection of the possession and maintenance of the Leased Premises by the LESSEE and the conduct of business operations therein; and

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Lessee

(b) for the security or safekeeping of the Leased Premises or any person or property found therein, including without limitation all furniture, fixtures, fittings, goods, chattels, samples, personal effects, contents or articles delivered to or left in the Leased Premises.

9.2 **Indemnification:** The LESSEE shall indemnify and keep the LESSOR fully indemnified against all claims, demands, actions and proceedings whatsoever made against the LESSOR by any person whomsoever arising as a result of or in connection with any loss, damage or injury which the LESSOR shall not be responsible for under Article 9.1 and against all costs and expenses incurred by the LESSOR in respect of such claims, actions or demands. The LESSEE shall also be responsible for any loss or damage which may be done to the Leased Premises or any part thereof or to Common Areas or to any part of the Commercial Center, due to the fault or negligence of the LESSEE, its employees, customers, clients or guests.

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9.3 **Non-Abatement Of Obligations** - In no event shall the payment of any amount due hereunder whether as rent, Common Area charges or utility charges abate or cease to be payable on account of the occurrence of any of the causes specified above, except to the extent permitted by Article 10.

ARTICLE 10 - FORCE MAJEURE

10.1 **Occurrence Of Force Majeure:** The LESSEE shall give the LESSOR written notice of any damage caused to the Leased Premises by reason of Force Majeure. If the Leased Premises are rendered inaccessible or destroyed or so damaged by Force Majeure, without any fault or omission of the LESSEE, its employees, guests, customers or clients, the damage shall be repaired at the expense of the LESSOR, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to the LESSEE against the LESSOR, except to the extent recognized under Article 10.2.

10.2 **Option To Rescind:** In the event that (i) the damage resulting from the Force Majeure renders the Leased Premises totally unfit for use or occupation for more than sixty (60) days, or (ii) the repairs required to render the Leased Premises fit for use and occupation are expected to last for more than ninety (90) days, or (iii) Force Majeure prevents any party from conducting its business or interferes with the operations of the Commercial Center for a period of more than sixty (60) days, then either party shall have the right to rescind this Contract by written notice sent to the other party without need of any judicial action at least five (5) business days after the lapse of the applicable period. The rescission of this Contract shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission. The obligation to pay rent and other charges or amounts due hereunder shall continue to be in full force until the date such rescission is effected.

In the event, however, that (i) the damage resulting from the Force Majeure renders the Leased Premises unfit for use or occupation for sixty (60) days or less, or (ii) the repairs required to render the Leased Premises fit for use or occupation are expected to last for ninety (90) days or less, or (iii) either party fails to exercise the option to rescind this Contract within the 5-day period specified therefor, or (iv) Force Majeure prevents any party from conducting its business or interferes with the operations of the Commercial Center for a period of sixty (60) days or less, then the rent due to the LESSOR (which shall be computed in accordance with Article 4) shall be reduced in proportion to the period the LESSEE has not been able to use the Leased Premises. Notwithstanding such proportionate reduction, all the other obligations of the LESSEE as provided hereunder shall remain in full force and effect. In no case shall any compensation or claim be allowed against the LESSOR by reason of the interruption, annoyance or injury caused to the LESSEE or its property arising from the rescission of this Contract, or any interruption in the use or possession of the Leased Premises, or the repair of any portion of the Commercial Center or the Leased Premises.

10.3 **Strikes And Lockouts:** In the event that a picket line is established in the Leased Premises or in the vicinity thereof due to a labor dispute involving the LESSEE or arising in any way from the conduct of the LESSEE's business, the LESSOR, in its sole discretion and by written notice, may require the LESSEE to pay for any additional cost the LESSOR may incur in hiring additional security guards, maintaining the cleanliness of the Leased Premises and the Commercial Center or in contracting for such other services as may be required for the well-being, security and welfare of the other

(a) the failure of the LESSEE to comply with the construction timelines set forth in Annex B, including but not limited to the submission of plans provided in Annex C;

(b) the term (or renewal) of this lease shall have expired pursuant to Article 2.1, or the LESSEE shall have failed to return and surrender the Leased Premises in accordance with Article 7.19;

(c) the Leased Premises shall be closed, deserted or unoccupied for a continuous period of fifteen (15) calendar days;

(d) the LESSEE shall fail to pay the rent or any other amount due hereunder on the date specified herein for its payment;

(e) any of the LESSEE's representations and warranties as specified hereunder shall prove false in any material respect when made;

(f) the LESSEE (if the latter is a natural person) shall have died or the corporate existence of the LESSEE (when organized as corporation or partnership) shall have ceased;

Witness

(g) the principal stockholder(s) or owner(s) of the LESSEE (when organized as a corporation or partnership) on the date hereof shall have changed or shall have ceased to own or control a majority of shares or interest in the LESSEE, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or owner(s) controlling the LESSEE shall not be acceptable to the LESSOR, or the LESSOR shall be unwilling to continue the lease with the LESSEE ,as owned or controlled by such new stockholder(s) or owner(s) for any reason;

Witness

(h) the LESSEE shall become insolvent or be unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law;

(i) the LESSEE fails to observe or perform any of the covenants provided hereunder, including without limitation, the failure by the LESSEE to comply with the requirement of Article 4.12; provided that, with respect to the LESSEE's obligation to submit a monthly Gross Sales report under Article 4.12, the LESSEE's failure to submit a monthly Gross Sales report on due date at least three (3) times during any lease year shall entitle the LESSOR to terminate and cancel this Contract;

Lessee

(j) the occurrence of any other event which entitles the LESSOR to exercise its right to cancel or terminate this lease pursuant to other provisions in this Contract and Annex B; and

(k) when the LESSEE, the parent or Affiliate of the LESSEE or another sole-proprietorship owned by the same person as that of the Lessee which has a lease contract in the Commercial Center or any other Ayala Malls, shall by the terms of any such lease contract, be deemed in default thereof.

Signed in the presence of

Lessee

11.2 **Consequences Of Default** - Upon the occurrence of any of the foregoing events, the LESSOR shall be entitled to exercise any of the following remedies, alternatively or cumulatively, in conjunction with or separately, at its discretion, from any other right or remedy granted hereunder or under the law:

(a) The LESSEE hereby appoints the LESSOR as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events specified in Art. 11.1: shall have the right to (i) open, enter, padlock, secure, enclose or fence in the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) demolish, remove or dismantle all alterations, additions, improvements or installations placed by the LESSEE in or on the Leased Premises to restore it to a strip-to-bare condition and to charge the LESSEE for the costs thereof, (iii) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom without defacing or injuring any ceiling, floor, wall or any portion of the Commercial Center or Leased Premises, place any of the same in storage and charge the LESSEE the corresponding storage fees therefor; (iv) in case the LESSEE fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the LESSOR within thirty (30) days from the date the LESSOR takes possession of the Leased Premises or of the LESSEE's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the LESSOR from the LESSEE, including reasonable expenses incurred by the LESSOR in connection with such sale, without prejudice to the right of the LESSOR to collect the deficiency, if any. The appointment of the LESSOR as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.

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(b) The LESSOR shall be entitled to collect from the LESSEE, and the LESSEE shall continue to be liable for, the rental of the unexpired period of the lease term and the penalty and interest charges due thereon (as applicable). The entire security constituted under Article 4.4 shall be forfeited in favor of the LESSOR, and the LESSEE shall continue to be liable for all amounts which shall be due from it as provided hereunder. All these amounts shall be due to the LESSOR in addition to whatever damages, whether actual or consequential, the LESSOR may have suffered or incurred from the termination of this Contract. In no case, shall any amount due hereunder from the LESSEE be applied against the additional security provided by the LESSEE under Article 4.4, it being understood that the entire amount thereof shall accrue by virtue of forfeiture in favor of the LESSOR.

(c) Should the LESSOR be compelled to seek judicial relief against the LESSEE, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to 20% of the amount claimed in the complaint, as attorney's fees (with a minimum of ₱50,000.00), and the costs of litigation and other expenses which the law may entitle the LESSOR to recover from the LESSEE.

ARTICLE 12 - GENERAL PROVISIONS

12.1 **Expropriation:** In the event that the Leased Premises or any part of the Commercial Center is expropriated during the period of this lease by any instrumentality of the Government or by any other entity with authority to exercise such power, either party may rescind this Contract upon giving the other party thirty (30) days' prior written notice thereof, without incurring any liability or providing the other party with any basis for an action for damages. In case of such expropriation, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings and agrees that the compensation to be received by the owners of the land, building and Leased Premises shall belong to each of them respectively, without prejudice to whatever recourse the LESSEE may have against the expropriating entity on account of damage done or caused to it or its properties by reason of such expropriation.

12.2 **Remedies are Cumulative:** All remedies of the LESSOR set forth in this Contract of Lease are non-exclusive and cumulative with any other remedies available at law or equity.

12.3 **Non-Waiver:** The failure of any party to insist upon a strict performance of any of the terms, conditions and covenants hereof shall not be deemed a relinquishment or waiver of such terms, conditions or covenants, nor shall it be construed as a condonation of any subsequent breach or default of the terms, conditions and covenants hereof, which terms, conditions and covenants shall continue to be in full force and effect. The subsequent acceptance of rent by the LESSOR shall not be deemed to be a waiver of any prior breach by the LESSEE of any term, covenant or condition for this lease, regardless of LESSOR's knowledge of such prior breach at the time of acceptance of such rent. No waiver by the LESSOR of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the LESSOR.

12.4 **Notice:** Where demand or notice is required to be given under this Contract, notice sent to the LESSEE (a) at the Leased Premises or at the address specified above either by registered mail, private courier or by personal delivery; (b) by e-mail at the address specified in the Merchant Information Sheet; or (c) via the Ayala Malls Merchant Portal shall be considered sufficient compliance with the requirement of notice or demand. The

12.8 **Severability:** If any one or more of the provisions of this Contract is declared invalid or unenforceable in any respect under any applicable law, the validity, legality or enforceability of the remaining provisions contained herein shall not in any way be affected or impaired.

12.9 **Data Privacy Statement:** LESSEE hereby accepts the terms and conditions provided in the Data Privacy Statement of the LESSOR and its parent company (as disclosed in its website: https://www.ayalaland.com.ph/privacy-policy/) and undertakes to, and cause its employees, agents, representatives and assigns to, abide by said terms and conditions as may be necessary in implementing the provisions of this Contract. LESSEE represents and warrants that its collection, access, use, storage, disposal, and disclosure of any personal information in relation to the transaction contemplated under this Contract shall at all times comply with the Data Privacy Act of 2012 and all other applicable data privacy and data protection laws and regulations.

12.9 **Confidentiality:** The LESSOR and LESSEE agree that any exchange of information or documents among the parties in connection with this Contract, including the terms provided hereunder Contract, shall be treated with strict confidentiality and no such information or documents shall be released without the prior written consent of the other Party, unless such information is required to be disclosed by any law, regulation, court order, or other competent authority. For the avoidance of doubt, certification as to the status of this lease by the LESSOR, as such will be provided to any governmental authority upon the latter's request, shall not be deemed a violation of this clause.

Witness

Witness

Lessee

Signed in the Presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By

Attorney-in-Fact

IN WITNESS WHEREOF, the parties, through their authorized representatives, have caused this Contract to be signed on the dates and place hereinafter inscribed.

BAY CITY COMMERCIAL VENTURES CORP.
Lessor

MARIA CRISTINA K. BALTAZAR

IRENE CONCEPCION C. ALZOLA

Attorneys-in-Fact

MARY GRACE FOODS INC.
Lessee

ADRIAN P. DIMACALI
Director

Signed In The Presence Of:

(Print name below signature)

CHRISTINE JOY B. ACIRAR
(Print name below signature)

Witness

Witness

Lessee

Signed in the presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By: _____
Attorney-in-Fact

FIRST ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
_____)S.S.

I certify that on this date before me, a notary public duly authorized in the city named above to take acknowledgments, personally appeared:

NAME	COMPETENT EVIDENCE OF IDENTITY	VALIDITY DATE / PLACE ISSUED
BAY CITY COMMERCIAL VENTURES CORP. represented by:		
MARIA CRISTINA K. BALTAZAR	Driver's License No. N04-20-020693	Valid until 10/17/2035
IRENE CONCEPCION C. ALZOLA	Driver's License No. N02-06-011220	Valid until 12/08/2032

Witness

Witness

who were identified by me through competent evidence of identity to be the same persons described in the foregoing instrument, who acknowledged before me that their respective signatures on the instrument were voluntarily affixed by them for the purposes stated therein, and who declared to me that they have executed the instrument as their free and voluntary act and deed and that they have the authority to sign on behalf of their respective principals. This Contract of Lease consists of ____ pages including this page where the acknowledgement is written, to which the Essential Provisions, Annexes A, B, C, D and E have been attached. Each page of this Contract has been signed by the parties and their instrumental witness and sealed with my notarial seal.

Witness my hand and seal this _____.

Lessee

Doc. No. _____;
Page No. _____;
Book No. _____;
Series of 2026.

Signed in the presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By _____
Attorney-in-Fact

SECOND ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
_____)S.S.

I certify that on this date before me, a notary public duly authorized in the city named above to take acknowledgments, personally appeared:

NAME	COMPETENT EVIDENCE OF IDENTITY	DATE/PLACE ISSUED
MARY GRACE FOODS INC. represented by:	TIN: 216-682-854-065	
ADRIAN P. DIMACALI		

Witness

who were identified by me through competent evidence of identity to be the same persons described in the foregoing instrument, who acknowledged before me that their respective signatures on the instrument were voluntarily affixed by them for the purposes stated therein, and who declared to me that they have executed the instrument as their free and voluntary act and deed and that they have the authority to sign on behalf of their respective principals. This Contract of Lease consists of ____ pages including this page where the acknowledgement is written, to which the Essential Provisions, Annexes A, B, C, D and E have been attached. Each page of this Contract has been signed by the parties and their instrumental witness and sealed with my notarial seal.

Witness

Witness my hand and seal this _____.

Lessee

Doc. No. _____;
Page No. _____;
Book No. _____;
Series of 2026.

Signed in the presence of

Lessee

BAY CITY COMMERCIAL VENTURES CORP

By _____
Attorney-in-Fact

ANNEX B
Additional Terms and Conditions

1. **Leased Premises:** measuring approximately **6.00** square meters, located at **Space No. R1-L1-M002, Ayala Malls Vertis North.**

2. **Term Of The Lease:** This lease shall commence on **08 February 2021** up to and until **30 June 2026**. This lease may be renewed for another period of one (1) year(s) subject to the fulfillment of the conditions specified in Article 2.1 of the Contract and provided that the LESSOR shall not undertake any redevelopment of any portion of the Commercial Center. In addition to the fulfillment of the conditions under Article 2.1 of the Contract, the LESSOR may require the LESSEE, and the LESSEE shall accordingly undertake, to change, renovate or modify the interiors of the Leased Premises at such times and using concepts and designs as the LESSOR and the LESSEE may subsequently agree upon. In the event that the LESSOR and the LESSEE are unable to agree on the conditions for change or renovation, the LESSOR may exercise its right not to renew the lease.

3. **Date Of Delivery Of Leased Premises:** The LESSOR shall deliver physical possession of the Leased Premises on or before **08 February 2021**. The LESSEE shall commence the construction of improvements on the Leased Premises within thirty (30) days from the date physical possession of the Leased Premises is delivered to the LESSEE. In the event that construction does not commence within such thirty-day period, then the LESSOR shall have the right to cancel this Contract, and exercise the rights granted to it by Article 11.2.

4. **Use Of Leased Premises:** The Leased Premises shall be used, occupied and operated exclusively by the LESSEE as an outlet for **CAFE MARY GRACE**, selling items as specified in Annex E. The Lessee shall not change the name of the outlet as specified herein, or the type of items being sold in such outlet as specified in Annex E, without the prior written consent of the LESSOR.

5. **Construction Timelines:** The LESSEE shall strictly comply with the following schedule, unless such dates are mutually adjusted by the LESSOR and the LESSEE in writing

	DATE
Pre-Construction Meeting	Not Applicable
Plan Preparation	Not Applicable
Submission of Plans as provided under Annex C	Not Applicable
Construction Permit Processing	Not Applicable
Start of Construction	Not Applicable
Completion of Construction	Not Applicable
Permit to Open	Not Applicable
Start of Operations	Not Applicable

6. **Rental Commencement Date:** The obligation of the LESSEE to pay monthly rent shall commence on **08 February 2021**.

7. **Rent**: From the Rental Commencement Date up to and until **31 July 2022**, the fixed Rent which the LESSEE shall become liable for under the terms of the Contract on a regular monthly basis shall be in the amount of **P25,000.00** per month PLUS the applicable value added tax ("Fixed Rent").

Period	Per month
01 June 2023 to 31 December 2023	**P27,000.00**
01 January 2024 to 31 December 2024	**P30,000.00**
01 January 2025 to 30 June 2026	**P34,500.00**

If, however, retail operations in the Leased Premises do not commence **after one (1) month from Rental Commencement Date**, then the LESSOR shall be entitled to terminate the lease pursuant to Article 11 of the Contract. The LESSEE agrees that the amount of Rent due to the LESSOR shall not be subject to any deduction or offsetting (except deductions for withholding tax) without the prior written consent by the LESSOR.

The LESSOR shall be entitled to adjust annually the amount of the Fixed Rent to be due. The LESSOR shall give written notice of the Fixed Rent adjustments to the LESSEE at least seven (7) days prior to the start of the period specified in this sub-paragraph. The failure of the LESSEE to object to the Fixed Rent adjustments within such 7-day period shall be considered by the LESSOR as the LESSEE's acceptance of such adjustments. In the event that the LESSEE objects to the Fixed Rent adjustments, the LESSOR and LESSEE shall enter into negotiations in good faith to determine mutually acceptable adjustments in the Fixed Rent; provided that, in the event the LESSOR and LESSEE are unable to agree on such adjustments within the 7-day period specified herein, then the LESSOR shall be entitled to terminate the lease and exercise the rights granted to it by Article 11 of the Contract by reason of such termination. The Fixed Rent applicable during such 7-day period shall be the Fixed Rental prevailing prior to such 7-day period.

(a) **Fixed Stockroom Rent:** In the event the LESSEE constructs a hanging stockroom or similar storage space within the Leased Premises, the LESSEE shall pay, in addition to the rents which may fall under the provisions of the foregoing paragraphs of this Section 6, a monthly fixed stockroom rent of **(P)** per square meter of the stockroom area PLUS the applicable value added tax; payable not later than the close of business hours of the last working day of the succeeding calendar month to which such fixed stockroom rent corresponds. The LESSEE undertakes to obtain the prior written approval of the LESSOR for the construction of the hanging stockroom or similar storage space within the Leased Premises, it being understood that the LESSOR shall be entitled to cause the removal of any unauthorized construction within the Leased Premises, as well as to damages caused by such unauthorized construction.

The LESSOR shall be entitled to adjust annually the amount of the Fixed Stockroom Rent to be due. The LESSOR shall give written notice of the Fixed Stockroom Rent adjustments to the LESSEE at least seven (7) days prior to the start of the period specified in the sub-paragraph. The failure of the LESSEE to object to the Fixed Stockroom Rent adjustments within such 7-day period shall be considered by the LESSOR as the LESSEE's acceptance of such adjustments. In the event that the LESSEE objects to the Fixed Stockroom Rent adjustment, the LESSOR and LESSEE shall enter into negotiations in good faith to determine mutually acceptable adjustments in the Fixed Stockroom Rent; provided that, in the event the LESSOR and LESSEE are unable to agree on such adjustments within the 7-day period specified herein, then the LESSOR shall be entitled to terminate the lease and exercise the rights granted to it by Article 11 of the Contract by reason of such termination. The Fixed Stockroom Rent applicable during such 7-day period shall be the fixed stockroom rent specified in the immediately preceding sub-paragraph.

(b) **Additional Rent:** Whenever applicable and in the event LESSEE subleases any portion of the Leased Premises, the Additional Rent which shall become due from the LESSEE pursuant to the terms of the Contract together with Fixed Rent shall be equal to the sum of the following amounts determined as follows: (i) twenty per cent (20%) of all amounts received by the LESSEE from its Sub-lessees in payment of any

Witness

Witness

Lessee

Signed in the presence of

Lessee

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On or before delivery of the Leased Premises: **two (2); P69,000.00**
On or before start of Store operations: **three (3); P103,500.00**

In the event the LESSEE constructs a hanging stockroom within the Leased Premises, the LESSEE shall provide an additional security equivalent to **Six (6)** months' Fixed Stockroom Rent.

9. **General Leasing Expenses:** Effective upon Date of Delivery of Leased Premises, the monthly share of the LESSEE in the General Leasing Expenses shall be as follows:

Common Area Expenses	Effective **08 February 2021** to **30 June 2022** **P130.00** per month (plus VAT) Effective **01 July 2022** to **31 May 2023** **P140.00** per month (plus VAT) Effective **01 June 2023** to **30 September 2024** **P150.00** per month (plus VAT) Effective **01 October 2024** to **23 October 2025** **P160.00** per month (plus VAT) Effective **24 October 2025** to **30 June 2026** **P200.00** per month (plus VAT)
Air-conditioning Charges	Effective **08 February 2021** to **31 December 2022** **P125.00** per month (plus VAT) Effective **01 January 2023** to **30 June 2023** **P140.00** per month (plus VAT) Effective **01 July 2023** to **30 September 2024** **P150.00** per month (plus VAT) Effective **01 October 2024** to **30 June 2026** **P160.00** per month (plus VAT)
Garbage Collection Fee	**P300.00** per month (VAT inclusive)

It is understood, however, that the above charges do not include the other General Leasing Expenses mentioned in Article 4.7 of the Contract, the rate of which cannot be determined by the LESSOR in advance.

10. **Advertising and Promotion:** **Not applicable**.

11. **Estate Dues and Fees.** The location of the Commercial Center is regulated by Vertis North Estate Association (VNEA). As such, the LESSOR as the Commercial Center owner and LESSEE as locator are both subject to the rules and regulations of VNEA such as, but not limited to, association dues, architectural guidelines, work and delivery permits, road usage and corresponding fees related thereto, as may be amended or imposed by VNEA from time to time.

The LESSEE shall be liable for its pro rate share in the payment of the estate association dues and expenses in the same proportion that the leasable area of the Leased Premises bears to the total leasable area of the Commercial Center. For purpose of determining the commencement of the obligation of the LESSEE to pay its pro rate share in the association dues and expenses, it shall be understood that such obligation shall commence on the calendar month on which the lease term falls, whether or not such day falls on the first day of such calendar month. The LESSOR shall bill the LESSEE is pro rata share in the VNEA dues and the LESSEE shall pay the same on the due date specified in the applicable statement of account.

The LESSEE shall be solely responsible in securing their respective permits such as work and delivery permits from VNEA's office located at its own cost.

12. **Operating Hours:** The LESSEE shall strictly adhere to the operating business hours of the Commercial Center. Unless the LESSEE is otherwise notified by the LESSOR of any change in the operating business hours of the Commercial Center, the LESSEE shall comply with the following operating business hours:

Sunday to Thursday	:	10:00 a.m. to 9:00 p.m.
Friday & Saturday	:	10:00 a.m. to 10:00 p.m.

The Lessor reserves the right to change the prescribed business hours from time to time.

Pursuant to Article 11 of the Contract, non-compliance with the operating hour of the Commercial Center shall constitute a ground for the LESSOR to cancel or terminate the Contract.

13. **Security:** For efficient security coordination, the LESSEE may select security personnel from the accredited agencies of the LESSOR which are listed in Attachment 1 of this Annex B. The list may, however, be amended by the LESSOR from time to time upon written notice to the LESSEE.

14. **Insurance:** Prior to construction, LESSEE shall be required to secure appropriate Contractors All Risks Insurance based on the full amount of the construction (with comprehensive third party liability extension at a minimum amount of P2,000,000) for the duration of the entire construction, demolition or renovation works.

Prior to start of operations, LESSEE shall be required to secure: (1) Commercial or Property All Risks Insurance with business interruption extension and (2) Comprehensive General or Third Party Liability cover (i.e. fire, water damage, food poising) with a minimum limit of P2,000,000 to be renewed yearly for the entire duration of the lease. The insurance coverage shall be obtained by the LESSEE from BPIMS or from any Ayala Land Inc. (ALI) accredited insurance companies and shall furnish the LESSOR with copies thereof as well as its subsequent renewals.

Further, the LESSEE undertakes to make all records pertaining to such insurance (including proof of payment) available to the authorized agents of the LESSOR at the Leased Premises for review during office hours on the date scheduled by the LESSOR, or any postponement or resetting thereof.

15. **Lessee's Undertaking:** In granting this lease, it is the intention of the LESSOR that the LESSEE shall confine and concentrate its operations at the Leased Premises located at the Commercial Center. The LESSEE, and its relatives up to the first (1st) degree of consanguinity or affinity, if a natural person; its subsidiaries and Affiliates, if a juridical person; hereby binds itself during the entire term of this lease not to operate or establish any or engage in a similar kind of business selling the same type of merchandise and/or type of merchandise brand, in any of the establishments within the Commercial Center, without the prior written approval of the LESSOR. Failure by the LESSEE to comply with this undertaking shall constitute a ground for the LESSOR to cancel or terminate this lease.

16. **Other Condition** - As part of the consideration for the grant of this lease, the LESSEE agrees that all its sodas, water, beverages, ice and

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20. **Zing Loyalty Program and Scan to Pay Facility:** (a) As part of the consideration for the grant of the lease, the LESSEE shall enroll as member and participate in Ayala Malls' Zing Loyalty Program and submit such form and information necessary for the LESSOR to grant LESSEE's customers with Zing loyalty points for every eligible spend or purchase in the Leased Premises. The LESSEE shall accordingly adopt such scan-to-pay facilities accredited by the LESSOR as payment options in the Leased Premises. (b) The LESSOR shall issue and the LESSEE shall display in the Leased Premises such marketing materials (including, but not limited to, acrylic table standee, flyers, and/or "Zing" door/window sticker or hanger) which shall feature the Zing logo, among others, in order to convey to customers that the LESSEE is a participating merchanting in the Ayala Malls' Zing Loyalty Program. The LESSOR may vary the design and execution of such marketing materials from time to time. The LESSEE may also request for or use customized marketing materials, subject to mutual agreement of the LESSOR and the LESSEE. (c) As a participating merchant in the Ayala Malls' Zing Loyalty Program, the LESSEE may be requested to promote the use of Ayala Malls' Zing to its customers for the latter to earn loyalty points for every eligible spend or purchase. The LESSEE, at its option, may also enter into specific co-marketing promotions with the Ayala Malls' Zing Loyalty Program.

21. **Updating of Merchant Information and Documents:** The LESSEE agrees to submit such documents and/or information as may be reasonably required by the LESSOR pursuant to its Know-Your Customer (KYC) process from time to time. In addition, the LESSEE shall directly and personally inform the LESSOR in writing of any changes in the Merchant Information Sheet or its lease documentary requirements such as, but not limited to, its DTI/SEC/BSP/AMLC registrations. It is understood that the LESSOR shall have the right to solely rely on the information provided by the LESSEE and shall not be liable for any error, non-communication or miscommunication in the information given. In recognition that the LESSOR is subject to and required to comply with legal, regulatory and/or other requirements in respect of Anti-Money Laundering, Counter-Terrorism Financing, KYC as well as other laws and regulations which now or in the future may come into effect (the "Reportorial Requirements"), the LESSEE fully acknowledges that this lease shall be subject to the Reportorial Requirements. The LESSEE consents to the sharing of its personal information, including KYC findings and conduct of verification, among the LESSOR and its Affiliates owning and/or operating other Ayala Malls and/or to governmental authorities and regulatory bodies.

22. **Sales Monitoring System** – In connection with Article 4.12 of the Contract, the LESSEE shall, at its own cost, install, connect and maintain a Point of Sale (POS) system within the Leased Premises as specifically described in the House Rules and which must be certified and approved by the LESSOR. The LESSEE shall install upgrades or attach such software, hardware or device in the POS system to facilitate transmission of sales and other information as may be required by the LESSOR. The LESSEE shall likewise ensure compatibility of the POS with the LESSOR's sales monitoring requirements. Without limiting the generality of the foregoing, the LESSEE shall secure the POS system, including upgrades and attachments (if any), from the list of accredited POS providers of the LESSOR attached hereto as Attachment 1 to this Annex B, and enter into a maintenance agreement with the accredited POS provider for the entire duration of this lease. The LESSEE shall furnish a copy of the maintenance agreement to the LESSOR as well as its subsequent renewals.

The LESSOR or its appointed auditor shall have the right to audit the books and records of LESSEE to verify that the POS data or gross sales reported to LESSOR accurately reflect the actual sales made by LESSEE at the Leased Premises.

In addition, the LESSEE shall allow the LESSOR to conduct the "Z" Reading of the cash register machine or point-of-sale terminal. The conduct of "Z" reading will be consistent with the store operating hours of the Commercial Center.

23. **Failure to Commence Operations at the Leased Premises by Rental Commencement Date:** In the event that the Lessee fails to commence operations at the Leased Premises by Rental Commencement Date, the Lessor reserves the right to impose a penalty as set forth in the Table of Penalties in Annex D for every calendar day of non-operations reckoned from the Rental Commencement Date until such time that the Lessee commences operations thereat. The Lessee acknowledges and agrees that this penalty is reasonable and necessary to compensate the Lessor for any losses incurred due to its delay in commencing operations at the Leased Premises. The penalty shall be payable immediately upon demand by the Lessor and shall not prejudice or deemed a waiver of any other right or remedy that may be available to the Lessor, including but not limited to termination of this lease (as applicable) and collection of Rent.

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Attachment 1
of Annex B

A. LIST OF ACCREDITED SECURITY AGENCIES

Premium Security & Investigation Agency, Inc.
Safeguard Investigation & Security Co., Inc.
Emirates Security & Maintenance Systems, Inc.
3i International Security Services, Inc.
Corporate Protection Services Phils., Inc.
Veterans Philippine Scout Security Agency
Everbest Security Agency Corp.

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B. LIST OF ACCREDITED INSURANCE COMPANY

BPI MS Insurance Corporation
Malayan Insurance Company, Inc.
Pioneer Insurance and Surety Corporation
FPG Insurance Co., Inc. (former Federal Phoenix Assurance Company, Inc.)
AIG Philippines Insurance, Inc.
Starr International Insurance
Chubb (former Ace-INA Insurance)
MAA General Assurance Phils., Inc.
UCPB Gen/CocoGen
Cibeles Insurance Corporation
Paramount Life & General Insurance Corporation
Alliedbankers Insurance Corporation
Liberty Insurance Corporation
Stronghold Insurance Company Inc.
The Mercantile Insurance Co.
Enrique Zobel Insurance (EZI) – Agent only

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C. LIST OF ACCREDITED POS PROVIDER (CATEGORY)

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Cyber Frontier (Fast-food / Fine Dine)
Syluxent Inc. / Jimac Incorporated (Retail / Fast-food / Fine Dine)
Tills & Labels (Fast-food / Fine Dine)
Ansi Information Systems, Inc. (Retail / Fast-food / Fine Dine)
Eleos – Octopus (Retail / Fast-food / Fine Dine)
Epos (Retail / Fast-food / Fine Dine)
Nelsoft (Retail / Fast-food / Fine Dine)
Point One (Retail / Fast-food / Fine Dine)
Partner Solutions / Retailware (Retail / Fast-food / Fine Dine)
Neutron Systems Trading (Retail / Fast-food / Fine Dine)
Apsoft, Inc. (Retail / Fast-food / Fine Dine)
JI Software Consulting (Retail)
Genie X / Genie Technologies Inc. (Food/ Fine Dine); Genie X / Genie Technologies Inc. (Retail - Rpro V9 & Retail Prism)
Divergent (Retail / Fast-food / Fine Dine)
Iripple (Fast-food)
Compuware (Fast-food / Fine Dine)
New Datche (Retail / Fast-food / Fine Dine)
Alliance (Retail / Fast-food / Fine Dine)
Future Logic Corporation (Raptor); Future Logic Corporation (Krypton) (Fast-food / Fine Dine)
1teq Providers, Inc. (Fast-food / Fine Dine)
Condor Pos Solutions Rp Inc. (Retail / Fast-food / Fine Dine)
Sweda Systems Philippines, Inc. (Retail / Fast-food / Fine Dine)
Performance Advantage Systems Int/ Dynamic Global (Fast-food); Performance Advantage Systems Int / Dynamic Global (Fine Dine);
Performance Advantage Systems Int / Dynamic Global (Retail)

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**The lists above may be amended by the LESSOR from time to time upon written notice to the LESSEE.*

ANNEX C
List of Plans for Submission

List of Final Plan Submission:	Merchant		Remarks
	Non-Food	Food	
(a) Colored perspective on 20" x 30" board with key plan at lower righthand corner showing the location of the leased area.	✓	✓	
(b) For all trade drawings, a total of 11 sets to be submitted to include 7 sets for permit application and 4 sets for evaluation, all in A1 sheets (594mm X 841mm).	✓	✓	May vary depending on LGU requirements
(1) Architectural plans and drawings			
Perspective	✓	✓	
Location plan of project and subject lease space	✓	✓	
Floor plans	✓	✓	
Elevations	✓	✓	
Longitudinal and cross sections	✓	✓	
Reflected ceiling plan	✓	✓	
Signage design and detail	✓	✓	
Board-up and graphic design detail	✓	✓	
Equipment layout	✓	✓	
Specifications	✓	✓	
Other relevant drawings	✓	✓	
Note: All architectural plans must be signed and sealed by a registered Architect.			
(2) Structural Plan (If applicable)			
Design, structural computations, and specifications	✓	✓	If applicable
Location and specifications of heavy equipment i.e., its weight, loading, and dimensions (if applicable)	✓	✓	Applicable to merchant's with heavy equipment (e.g. bank vaults, pugon oven, etc.)
Structural design and details	✓	✓	If applicable
Floor framing plans	✓	✓	Applicable to merchant's allowed to construct a mezzanine
Location of wall partitions		✓	Applicable to merchant's allowed to construct CHB partitions (e.g. kitchen, toilets)
Coring and channeling layout	✓	✓	Applicable to merchant's w/ plumbing, drainage and sanitary systems
Other relevant drawings	✓	✓	
Note: All structural plans must be signed and sealed by a registered Civil/Structural Engineer.			
(3) Electrical Plans			
Power equipment and auxiliary plan, showing location of and connection to the stub-out	✓	✓	
Single line diagram	✓	✓	
Lighting plan with illumination specifications	✓	✓	
Detailed electrical design and load schedule computation	✓	✓	
Plans for telephone, POS, and other auxiliary layout plan	✓	✓	
Security/burglar alarm system plan and details, if any	✓	✓	
CCTV system	✓	✓	
Details of electrical equipment (if applicable)	✓	✓	

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ANNEX D
Table of Penalties

The imposition of the below penalties shall be in addition to Rent and other remedies that may be available to the LESSOR. For the avoidance of doubt, the penalties may be applied in conjunction with each other. The LESSEE recognizes the sole right of the LESSOR to amend and/or make adjustments to the table of penalties from time to time, subject to prior notice to the LESSEE.

Penalty for Failure to Commence Operations by Rental Commencement Date (RCD)	
Kiosk	₱1,000.00/day
Below 100 sqm	₱5,000.00/day
101 to 200 sqm	₱7,000.00/day
201 to 300 sqm	₱10,000.00/day
301 to 500 sqm	₱15,000.00/day
Above 500 sqm	₱30,000.00/day
Late Store Opening Penalty	
Less than 4 hours	50% of Daily Rate
Above 5 hours	100% of Daily Rate (considered as one day)
POS Penalty (for disconnection and non-connection)	
1st month	Same as penalty for failure to commence operations by RCD
Succeeding months	Double every succeeding month/s
House Rules/Construction/Tenant Fit-Out Guidelines Violation	
First Offense	Written Notice
Second Offense	₱1,500.00
Third Offense	₱3,000.00
Fourth Offense	₱6,000.00
Succeeding Violation	Double every succeeding violation
Fire Safety Violation	₱10,000.00/violation
Method Statement Violation	₱10,000.00/violation
Fire Incident	₱50,000.00/violation
Safety Incident	₱50,000.00/violation

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